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AI for Investment Banking

How AI supports the deal toolkit, pitch books, comparables, diligence and valuation, while keeping every client-facing output accurate and defensible.



21 min read · Intermediate

Pascal Academy
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Introduction

Investment banking is a documents business. Pitch books, comps, CIMs, diligence trackers and valuation models are all built from large volumes of information under punishing deadlines. AI compresses the assembly; it does not change the standard every client-facing page is held to. This guide covers where it helps across the deal toolkit.

Pitch Books

AI accelerates the raw material behind a pitch, company overviews, market context, precedent situations, first-draft narratives, so the team spends its time on the argument and the story rather than the assembly.

The bar for a client page is exactness. Every figure and claim the AI drafts must be traced to a source and confirmed before it reaches the deck.

Comparable Companies

Building a comp set means identifying the right peers and pulling consistent metrics for each. AI can propose a peer universe with a rationale for every name and assemble the first-pass table, flagging where definitions differ between companies.

The judgement, which peers truly belong, which to trim, stays with the banker, and every multiple is verified against the source before it drives a valuation.

Industry Research

For sector coverage, AI reads across filings, transcripts and news to assemble a structured view of a market, size, drivers, competitive dynamics, recent activity, far faster than doing it by hand, and in the shape you specify.

CIM Analysis

On the buy-side of a process, a CIM is a dense, persuasive document that has to be read critically. With retrieval, a team can interrogate it directly, customer concentration, margin bridge, the assumptions behind the projections, and get cited answers to work from.

A CIM is a sell document; AI helps you read it sceptically, but the scepticism is yours. Verify the claims that matter against independent sources.

Due Diligence

Diligence over a data room is a natural fit: ask questions of hundreds of documents at once, surface every instance of a clause or risk, and build a findings tracker with a citation behind each entry.

The citation is what makes it usable, it points a human to the exact document to confirm before a finding is relied upon.

Valuation Support

Use AI for the narrative and assumptions around a valuation, laying out drivers, sensitivities and the comparable context, not for the arithmetic inside the model. The math stays in an auditable spreadsheet where every input can be checked.

Client Presentations

AI is a capable drafting and editing partner for client materials: structuring an argument, tightening language, adapting a narrative to an audience. What it produces is a draft to a professional standard, not a final page, the review discipline is unchanged.

Best Practices

- Verify every client-facing number against its source before it ships.
- Keep comp-set and peer selection a human judgement, informed by AI, not made by it.
- Read sell-side documents like a CIM sceptically; use AI to interrogate, not to trust.
- Keep valuation arithmetic in an auditable model, never inside the language model.
- Treat AI output as a first draft held to the same standard as any junior's work.

Further Reading

Continue with AI for Hedge Funds for the deep single-name research workflow, or AI for Private Equity for the sourcing-to-monitoring lifecycle in private markets.

Frequently asked questions

What are the key practices to follow?

Verify every client-facing number against its source before it ships. Keep comp-set and peer selection a human judgement, informed by AI, not made by it. Read sell-side documents like a CIM sceptically; use AI to interrogate, not to trust. Keep valuation arithmetic in an auditable model, never inside the language model. Treat AI output as a first draft held to the same standard as any junior's work.